FICTIONAL PROTOTYPE. Staged review answers from a fictional organisation. All figures are test fixtures, not an approved score.

MK FRAUD INSIGHTS

ESSENTIAL FRAUD READINESS REPORT

Every first-priority fraud scheme is reported as covered, but 21 controls relied on are not supported in practice.

87.8 / 100 STRATEGIC

PREPARED FOR

Fictional Retail Group (overstated confirmations)

Assessment reference · FX-P6b

Assessment date · 11 November 2026

CONFIDENTIAL · PREPARED FOR THE MANAGEMENT OF FICTIONAL RETAIL GROUP (OVERSTATED CONFIRMATIONS)

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WHAT DOES THE ASSESSMENT SHOW?

Fraud readiness at a glance

87.8	Strategic	10	92.50	81.00
READINESS SCORE OUT OF 100	MATURITY BAND	DOMAINS ASSESSED	STRONGEST DOMAIN	WEAKEST DOMAIN
			Finance, banking & financial reporting	Ethics, integrity & anti-corruption

The review asked about 106 fraud schemes that apply to the organisation. For 80, every control that stops the scheme was reported in place. 4 have at least one such control reported as a gap. 21 rely on a control reported in place whose own supporting practices were reported as gaps. The figures above are test fixtures for this fictional demonstration, not an approved score.

Domain readiness profile



Ethics, integrity and anti-corruption	81.00	Strategic
Assets, cash and inventory	82.00	
Third parties and supply chain	85.70	
Detection, speak-up and response	86.70	
Digital, cyber-enabled and identity fraud	87.10	
People, payroll and insider risk	89.10	
Fraud governance and accountability	90.00	
Fraud risk assessment	91.70	
Customers, revenue and products	92.00	
Finance, banking and financial reporting	92.50	

Ordered weakest first. Overall readiness 87.8 / 100.

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WHY DOES THE POSITION LOOK LIKE THIS?

What is driving the position

PATTERN	ASSESSMENT SIGNALS	WHY IT MATTERS
Executive accountable for fraud: reported in place, not supported by its practices	Executive accountable for fraud **In place** Owner has authority across the organisation **Not in place** Dedicated fraud capability **Partly**	It is relied on to stop the scheme where no one is answerable for fraud risk. One self-reported answer says it is in place; the answers about the practices it depends on say otherwise.
Fraud risks assessed: reported in place, not supported by its practices	Fraud risks assessed **In place** Management owns the results **Not in place** Process owners take part **Not in place**	It is relied on to stop the scheme where fraud risks are never identified. One self-reported answer says it is in place; the answers about the practices it depends on say otherwise.
AI-enabled fraud covered: reported in place, not supported by its practices	AI-enabled fraud covered **In place** Controls tested against AI fakes **Not in place** AI methods tested per process **Not in place**	It is relied on to stop the scheme where AI-enabled schemes are not considered. One self-reported answer says it is in place; the answers about the practices it depends on say otherwise.

THE PATTERN THAT MATTERS

Of 67 controls reported fully in place that the method can cross-check, 10 were cross-checked with one further self-reported answer about a practice they depend on: 0 consistent, 6 conflicting, 1 partial operation and 3 narrower scope. The other 57 were not cross-checked and nothing is concluded about them. These cross-checks compare the organisation's own answers; they are not tests of operation and they change no figure.

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WHERE DOES FRAUD EXPOSURE MATTER MOST?

Priority fraud schemes

#	PRIORITY EXPOSURE	ASSESSMENT BASIS	POTENTIAL CONSEQUENCE	INTERRUPTION POINT	PRIORITY ORDER
1	**A fictitious supplier is created and paid** Fictitious suppliers enter through onboarding that can be skipped.	New supplier process **In place** New supplier approved by another person **Not in place** Directors compared with staff **Not in place**	Funds paid to a diverted, fictitious or overbilling supplier, often unrecoverable once released.	Directors and owners, including those behind holding companies, are identified for every new supplier from an independent source.	**Priority 1** First-priority scheme; its control is reported in place, but 5 practices it relies on are gaps.
2	**Invoices are paid for goods or services not received or not agreed** Invoices paid without checking approval and receipt are how overbilling and fictitious deliveries get paid.	Three-way match **In place** Services confirmed **Not in place** Approved order before commitment **Partly**	Funds paid to a diverted, fictitious or overbilling supplier, often unrecoverable once released.	Every purchase is approved by someone with the authority to do so before the organisation commits, and the approval is recorded.	**Priority 2** First-priority scheme; its control is reported in place, but 3 practices it relies on are gaps.
3	**Fraud risks are never identified** Whether risks are understood decides whether controls are aimed at the right schemes.	Fraud risks assessed **In place** Management owns the results **Not in place** Process owners take part **Not in place**	Losses grow because unusual activity is not seen or challenged in time.	Management formally accepts the results, and every significant risk has a named owner who has agreed to it.	**Priority 3** First-priority scheme; its control is reported in place, but 4 practices it relies on are gaps.
4	**Ghost employees are paid** A payroll that nobody independent reviews before payment is where ghost employees hide.	Payroll reviewed by another person **In place** Payroll data analysed **Set out, not operating** New employee checked by another person **Partly**	Salaries paid to fictitious, departed or overpaid employees, recurring every pay run until found.	Every new record is checked against a signed appointment by someone other than the person who captured it, before the first pay run.	**Priority 4** First-priority scheme; its control is reported in place, but 3 practices it relies on are gaps.

Ordered by the draft method's scheme priority and the number of controls reported as gaps. The order indicates where to act first; it is not a risk rating.

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HOW COULD THAT EXPOSURE MATERIALISE?

How the schemes would work here

A fictitious supplier is created and paid

An insider or outsider adds a supplier that does not exist and invoices it › New supplier process reported in place › Fictitious or shell suppliers

An insider or outsider adds a supplier that does not exist and invoices it. Fictitious suppliers enter through onboarding that can be skipped. Here, new supplier process is reported in place, but new supplier approved by another person: not in place; directors compared with staff: not in place.

Interrupted by: Until the design operates, the process owner puts every new case and the recent ones to this test by hand: Does someone other than the person who captured a new supplier approve it before it becomes active?

Warning signs: Fictitious or shell suppliers · Undisclosed conflicts of interest · Misrepresented supplier credentials

Invoices are paid for goods or services not received or not agreed

Overbilling, fictitious deliveries or inflated rates are paid › Three-way match reported in place; services confirmed not in place › Unauthorised commitments and approval override

Overbilling, fictitious deliveries or inflated rates are paid. Invoices paid without checking approval and receipt are how overbilling and fictitious deliveries get paid. Here, three-way match is reported in place, but services confirmed: not in place; most purchases are approved before commitment, through a purchase order or another record.

Interrupted by: Until the design operates, the process owner puts every new case and the recent ones to this test by hand: For services, does the person receiving the service confirm it was delivered before payment?

Warning signs: Unauthorised commitments and approval override · Duplicate or false invoices · Overpricing, overbilling and inflated variations

Fraud risks are never identified

Management does not know how fraud could happen in its own processes › Fraud risks assessed reported in place; management owns the results not in place › Fraud schemes that are never identified, so no control is designed to stop them

Management does not know how fraud could happen in its own processes. Whether risks are understood decides whether controls are aimed at the right schemes. Here, fraud risks assessed is reported in place, but management has not seen or accepted the results; process owners take part: not in place.

Interrupted by: Until the design operates, the process owner checks every new case and the recent ones by hand against this standard: management formally accepts the results, and every significant risk has a named owner who has agreed to it.

Warning signs: Fraud schemes that are never identified, so no control is designed to stop them · Effort and audit work not directed at the highest fraud risks · Controls that do not match how fraud actually happens

These are plausible schemes for an organisation with the controls it reported. They are not allegations that these events have occurred.

WHAT DOES MANAGEMENT NEED TO CHANGE?

What management should change

#	MANAGEMENT OUTCOME	WHY NOW	ACCOUNTABLE	WHAT GOOD LOOKS LIKE
1	**Confirm that new supplier process works in practice**	Reported in place to stop the scheme where a fictitious supplier is created and paid, but 5 of the practices it relies on are gaps.	Head of procurement or CFO, with the procurement or creditors manager	Directors and owners, including those behind holding companies, are identified for every new supplier from an independent source.
2	**Confirm that three-way match works in practice**	Reported in place to stop the scheme where invoices are paid for goods or services not received or not agreed, but 3 of the practices it relies on are gaps.	Head of procurement or CFO, with the creditors manager or financial controller	Every purchase is approved by someone with the authority to do so before the organisation commits, and the approval is recorded.
3	**Confirm that fraud risks assessed works in practice**	Reported in place to stop the scheme where fraud risks are never identified, but 4 of the practices it relies on are gaps.	Risk manager or fraud risk lead	Management formally accepts the results, and every significant risk has a named owner who has agreed to it.
4	**Confirm that payroll reviewed by another person works in practice**	Reported in place to stop the scheme where ghost employees are paid, but 3 of the practices it relies on are gaps.	HR or payroll manager, with the payroll manager or financial controller	Every new record is checked against a signed appointment by someone other than the person who captured it, before the first pay run.
5	**Confirm the 17 other unsupported controls**	17 further controls are reported in place while practices they rely on were reported as gaps.	Each process owner named in the supporting register	Every control relied on to stop a first-priority scheme is supported by the practices it depends on, confirmed by the person who runs it.

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WHAT SHOULD HAPPEN IN THE FIRST 90 DAYS?

The first 90 days

30 days: Contain and complete the picture

0–30 DAYS

Owners are named and the most exposed schemes are contained.

Name one accountable executive for each area with first-priority schemes open or unsupported: risk assessment (2), procurement and third parties (2), people and payroll (2), cash, stock and assets (2), detection and response (2), governance (1), ethics and anti-corruption (1), finance and banking (1), customers and revenue (1) and digital and identity (1). A signed list of schemes, their accountable executives and target dates. **Complete when:** Every first-priority scheme has a named executive and a date.	CEO or company secretary
Confirm with CEO or company secretary how executive accountable for fraud operates and put in place owner has authority across the organisation, dedicated fraud capability and annual fraud action plan. CEO or company secretary confirms in writing that the controls operate for every case. **Complete when:** Management's own records show that every case in the period passes this test: Does the person who handles fraud risk have the authority and budget to act across the organisation, not only in their own area?	CEO or company secretary
Confirm with Risk manager or fraud risk lead how fraud risks assessed operates and put in place management owns the results, process owners take part and processes walked through. Minutes of the meeting that accepted the assessment, the register showing risk owners, executive sign-off. **Complete when:** Management's own records show, for every case in the period: management formally accepts the results, and every significant risk has a named owner who has agreed to it.	Risk manager or fraud risk lead

60 days: Close the first-priority gaps

31–60 DAYS

The controls that stop the first-priority schemes operate for every case.

Confirm with Risk manager or fraud risk lead how AI-enabled fraud covered operates and put in place controls tested against AI fakes, AI methods tested per process and own AI tools in scope. Register entries for AI-enabled schemes, the processes they apply to and the date they were last reviewed. **Complete when:** Management's own records show that every case in the period passes this test: Are controls that rely on recognising a voice, face, signature or document assessed for whether an AI-generated fake could defeat them?	Risk manager or fraud risk lead
Confirm with Compliance or legal lead how bribery prohibited operates and put in place leaders trained on their duties and high-risk activities identified. The bribery risk assessment, the list of high-risk activities and the controls applied to them. **Complete when:** Management's own records show that every case in the period passes this test: Are directors and senior managers trained on their personal duties, including reporting corruption under section 34 and the organisation's liability for bribery?	Compliance or legal lead

90 days: Extend and embed

61–90 DAYS

Second-priority schemes are addressed and the scheme status is reported each month.

Confirm with Risk manager or fraud risk lead how response decided operates and put in place likelihood and impact rated. Recorded responses for risks above tolerance, acceptance approvals, the action plan. **Complete when:** Management's own records show that every case in the period passes this test: Is each fraud risk rated for how likely it is and how much harm it could cause?	Risk manager or fraud risk lead
Have the board or its audit committee receive the status of the 15 first-priority schemes each month until they are closed.	CEO or company secretary

HOW WILL MANAGEMENT KNOW WHETHER READINESS IS IMPROVING?

What to check at the 90-day point

MEASURE	POSITION TODAY	90-DAY EXPECTATION
New supplier approved by another person	New supplier approved by another person: not in place.	Every case passes this test: Does someone other than the person who captured a new supplier approve it before it becomes active?
Services confirmed	Services confirmed: not in place.	Every case passes this test: For services, does the person receiving the service confirm it was delivered before payment?
Management owns the results	Management has not seen or accepted the results.	Management formally accepts the results, and every significant risk has a named owner who has agreed to it.
Payroll data analysed	Payroll data analysed: set out, not operating.	Every case passes this test: Does anyone analyse payroll data for unusual patterns?
Controls reported in place but unsupported	21 of the controls reported in place.	Each confirmed by its process owner, with its practices in place.

Management conclusion

Fictional Retail Group (overstated confirmations) reports every first-priority scheme as covered. The priority is to make sure the 21 controls whose practices were reported as gaps hold in practice.

This report is based on the organisation's own answers to the MK Fraud Readiness review, given by the respondent and the accountable functions named in it, and read against the draft review method, which MK has not yet approved. MK has not independently tested whether controls operate in practice, and no evidence was reviewed; evidence review is a separate Advisory service. TEST FIXTURE: hypothetical research value (scoring-frame simulation, Option A, midpoint, equal areas, no caps). Not an approved score, band or rating.